

Trident Marine Systems

3600 Dock St, Norfolk, VA 23510 | Confidential Internal Document

MARKET SHARE DECLINE ANALYSIS

Period Ending: August 21, 2025 | Report ID: RPT-CRIT-7525208

EXECUTIVE SUMMARY

CRITICAL FINANCIAL DISTRESS. Revenue has collapsed by 32% following the loss of two anchor clients representing 41% of total ARR. The company is currently in breach of its debt covenants. Lender negotiations are underway. The Board has appointed a Chief Restructuring Officer and is evaluating all strategic options including a potential sale, recapitalisation, or managed wind-down of non-core business units.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	105.8	155.59	-32%	CRITICAL
EBITDA Margin (%)	16.8	33.6	-16.8 pts	At Risk
Customer Retention (%)	80.1	104.2	-24.1%	CRITICAL
New Customer Acquisition	114	253	-139	CRITICAL
Employee Satisfaction	52/100	92/100	-40 pts	CRITICAL

RECOMMENDED CORRECTIVE ACTIONS

- Accelerate the product roadmap for the top three revenue-generating SKUs, reallocating R&D; budget from lower-priority initiatives to reduce time-to-market by an estimated 3 months.
- Renegotiate payment terms with the top five suppliers, targeting net-60 terms to improve near-term working capital position by an estimated \$4–6M.
- Launch an emergency win-back campaign targeting churned customers from the past 12 months, with tailored pricing incentives pre-approved by the CFO.
- Conduct a zero-based budgeting exercise across all cost centres, with a minimum 10% reduction target for all non-essential operating expenditure in Q4.
- Brief the Board's Audit Committee on the financial restatement risk identified in Q2 and engage external legal counsel to assess exposure.

Prepared by: Hamid Karimi, Chief Restructuring Officer

Approved by: _____ | Date: August 24, 2025

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